



Quarterly Investment Report

Q2 2023 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	53.2%	-0.30%	-3.52%
Credit	23.5%	+0.38%	-2.79%
Equities	8.4%	+0.53%	-3.33%
Property	7.0%	+1.67%	+3.83%
Cash	6.9%	+0.67%	+3.51%

Market Commentary

During Q2 2023, gilt yields moved by approximately +36bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.